

SENATE BILL 1870

By Johnson

AN ACT to amend Tennessee Code Annotated, Title 45,
Chapter 2; Title 45, Chapter 4 and Title 45,
Chapter 7, relative to financial institutions.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 45-2-1602(a)(1), is amended by deleting the language"; provided, that a full-scope examination, as set out in subsection (b), shall be conducted by the commissioner or the commissioner's designee at least once in every three (3) years".

SECTION 2. Tennessee Code Annotated, Section 45-2-1602(a)(2), is amended by deleting the subdivision and substituting instead:

(2) The provision of subdivision (a)(1) requiring an examination at least once in each year may be extended to up to twenty-four (24) months or such longer period as determined by the commissioner. In making this determination, the commissioner should consider the bank's quality of management, capitalization, risk profile and internal controls, the examination cycle imposed by any applicable federal banking regulatory authority, and any other factors the commissioner deems relevant.

SECTION 3. Tennessee Code Annotated, Section 45-4-505(a), is amended by deleting the subsection and substituting instead:

(a) Any credit union organized under this chapter shall, prior to commencing its operations, obtain and thereafter maintain insurance of its share and deposit balances by membership in the National Credit Union Association, unless otherwise determined by the commissioner pursuant to subsection (c).

SECTION 4. Tennessee Code Annotated, Section 45-4-505, is amended by adding the following as new subsections:

(c) The commissioner may determine the type, amounts, and other characteristics of share insurance required to be maintained by each state credit union.

In making the determination, the commissioner shall consider the following factors:

(1) The safety and soundness of the state credit union;

(2) The ability of the state credit union to promote the economic progress of this state;

(3) Public confidence in the credit union system;

(4) The views of the credit union industry in this state; and

(5) Any other factors the commissioner may deem relevant.

(d) The commissioner may promulgate rules to implement this section. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 5. Tennessee Code Annotated, Section 45-4-703, is amended by deleting subsection (d) and by deleting the first sentence of subsection (e).

SECTION 6. Tennessee Code Annotated, Section 45-4-1002(a), is amended by deleting the subsection and substituting instead:

(a) The commissioner shall either personally or by competent examiner appointed by the commissioner visit and examine every credit union subject to the commissioner's supervision at least once each year; provided, that this provision requiring examination at least once in each year may be extended to up to twenty-four (24) months or such longer period as determined by the commissioner. In making this determination, the commissioner should consider the credit union's quality of management, capitalization, internal controls, the examination cycle imposed by any

applicable federal credit union regulatory authority, and any other factors the commissioner deems relevant. The commissioner may order examinations and shall, at all times, be given free access to all the books, papers, securities, and other sources of information in respect to the credit union. For that purpose, the commissioner shall have the power to subpoena and examine, personally or through a deputy duly authorized, witnesses on oath and documents pertaining to the business of the credit union. The commissioner may have follow-up examinations and visitations conducted on a credit union if the commissioner believes that the examinations and visitations are necessary to protect the interests of the members of the credit union.

SECTION 7. Tennessee Code Annotated, Title 45, Chapter 4, Part 11, is amended by deleting the part in its entirety.

SECTION 8. Tennessee Code Annotated, Section 45-4-1210(a), is amended by deleting the language "an annual examination" and substituting instead "examination in accordance with § 45-4-1002(a)".

SECTION 9. Tennessee Code Annotated, Section 45-7-104(6), is amended by deleting the subdivision and substituting instead:

(6) A federally insured depository financial institution, bank holding company, office of an international banking corporation, foreign bank that establishes a federal branch pursuant to 12 U.S.C. § 3102, corporation organized pursuant to the Bank Service Company Act (12 U.S.C. §§ 1861-1867), or corporation organized under the Edge Act (12 U.S.C. §§ 611-633).

SECTION 10. This act takes effect upon becoming a law, the public welfare requiring it.